

company in 1898. The issue has not sold below par (\$100) since 1907. The average of the annual high and low prices for 1908–1939 was 140.6, on which the annual dividend of \$7 has yielded 5%. A similar average for the entire history of the issue on the New York Stock Exchange (1899–1939) is 132.75 and a yield of 5.27%. This average covers a range of 79½ in 1900 and 175 in 1939. In only five out of the forty-one years since the issue was first listed has it sold at a price below par.

NOTE 7

Twenty-five million dollars of Seaboard-All Florida Railway First Mortgage 6% Gold Bonds, Series A, due Aug. 1, 1935, were originally offered in 1925 at 98½ and interest. The bonds were joint and several obligations of the Seaboard-All Florida Ry., Florida Western & Northern R.R. Co., and the East & West Coast Ry. They were further secured by an unconditional guarantee with respect to both principal and interest, through endorsement by the Seaboard Air Line Ry. Co., which leased the properties of the several roads at a minimum annual net rental equal to the annual interest charges on all bonds outstanding under the mortgage.

The proceeds from the sale of these bonds were used mainly to redeem outstanding first-mortgage obligations of the lessor roads and to construct about 217 miles of new trackage along the east and west coasts of Florida. Thus the bonds had a first lien on approximately 475 miles of newly constructed and established lines.

The Seaboard-All Florida Ry. went into the hands of receivers on Feb. 2, 1931, following receivership for the Seaboard Air Line Ry. Co. and a default in interest due on these bonds.

Although the buyers of these bonds provided \$24,625,000 to defray the cost of acquiring and constructing Florida railway properties, by December 1931 their bonds were selling as low as 1 cent on the dollar, the market appraising the value of their investment at only \$250,000. At the end of 1939 the appraisal had risen to \$940,000, or 3.875 cents on the dollar.

NOTE 8

Interest was defaulted on Bush Terminal Co. First Mortgage 4s, due 1952, and on the company's Consolidated Mortgage 5s, due 1955, in 1933. There were also defaults on sinking fund payments. All defaults were remedied during the reorganization proceedings, and the issues emerged undisturbed. Several other examples of this comparatively rare treatment of defaulted issues are given on pp. 637–638 of the 1934 edition of this work.